default risk, which is the risk that an issuer will not meet its financial obligations under the bond covenant. This makes the overall financial health of the issuer important to both stock and bond investors.

Differentiating between some categories is also straightforward within an asset class. A European equity index consists of companies with their headquarters in Europe. This makes it fundamentally different from a U.S. equity index, which consists of companies with their headquarters in the United States. By definition, European stocks and U.S. stocks are *mutually exclusive*. Membership in one index precludes membership in the other. For example, a company that has its worldwide headquarters in Europe cannot have its worldwide headquarters in the United States. It is either a European company or a U.S. company, not both.

Finding unique investments among category styles is more complicated. Styles are segments within categories rather than separate categories. For instance, there is not much fundamental difference between large U.S. stocks and small U.S. stocks. The accounting is the same, the exchange they trade on is the same, and the taxes are the same. Nonetheless, U.S. stocks can be divided so that a large-stock index is mutually exclusive from a small-stock index. Then the two indexes can be annualized to see if they exhibit significantly different risk-and-return characteristics.

An allocation between subcategories may be appropriate when they act differently during different periods in the economic cycle. For example, growth stocks tend to perform well in a recession and early recovery, while value stocks tend to do best well into a recovery and at economic peaks.

Value stock index funds and growth stock index funds tend to be mutually exclusive. There is no security overlap even though the stocks come from the same market. When security overlap occurs, it means that two investments generally hold the same securities and therefore are prone to be highly positively correlated with each other.

In the late 1990s, technology and telecommunications stocks were soaring in value. The best-performing mutual funds at the time were growth funds that were heavily invested in those sectors. Investors reacted to the surge by overweighting their portfolios in growth funds that were doing well. According to the Investment Company Institute (ICI), starting in late 1998, quarterly money flow into growth funds began to outpace the amount flowing into value funds. By the time growth stocks peaked in early 2000, investors were transferring billions of dollars out of value funds